

At a *Mint* event, we had invited a senior official of the insurance regulator. He spoke about a policy that the regulator itself had decoded and found a return of 0.5 per cent a year after ten years. As an aside: The use of the word 'bonus' is meant to trigger that part of your brain that wants an extra thing for free. But it is not a 'bonus' in the real sense of the word. It is your return.

It is like a bank FD saying: Hey dude, you get a bonus. We not only return your money you invested at the end of the year, but even give you a 7 per cent bonus on it! Just as calling 'interest' a 'bonus' is silly, so is calling a return that the policy gives a 'bonus' bizarre. But that's the Indian insurance industry for you. They feed off your trust and willingness to believe in their bad products.

A lot of people make the mistake of thinking that the poor returns are because of the life insurance cover. Think of the premium as a price again. This price is now buying you two things: an insurance cover and a return. The price of an insurance cover (called mortality price) cannot be different for the same person for a term policy and for a bundled policy because it is based on what are called 'actuarial tables'. Let's not worry about jargon here, but just understand that the price of your pure life cover is calculated by keeping in mind, among other things, how long an average person lives, what the gender is and at what age they are today.

So now we know that the price of the pure risk cover should be the same across a term policy and an endowment policy. Now let's look at the price of two similar cover plans. If the premium of Rs 1,000 a year buys a thirty-five-year-old person a life cover of Rs 5 lakhs for twenty-five years in a term plan, then the cost should be the same in the money-back plan of the life cover, right?

This means that of the Rs 50,000 a year premium in a bundled product, just Rs 1,000 is going towards your life cover. The bulk – that is Rs 49,000 a year – is your investment.

The day I understood this, the world stopped for a moment. I pulled out the junk policies I'd been sold over the years to see what the damage was. Huge. Endowment plans destroy wealth over the long term. ***The day you realize that it is in your best interest to separate your investment and insurance products, is the day you move solidly towards building your financial security.*** Else you are building wealth for the seller and the insurance companies.